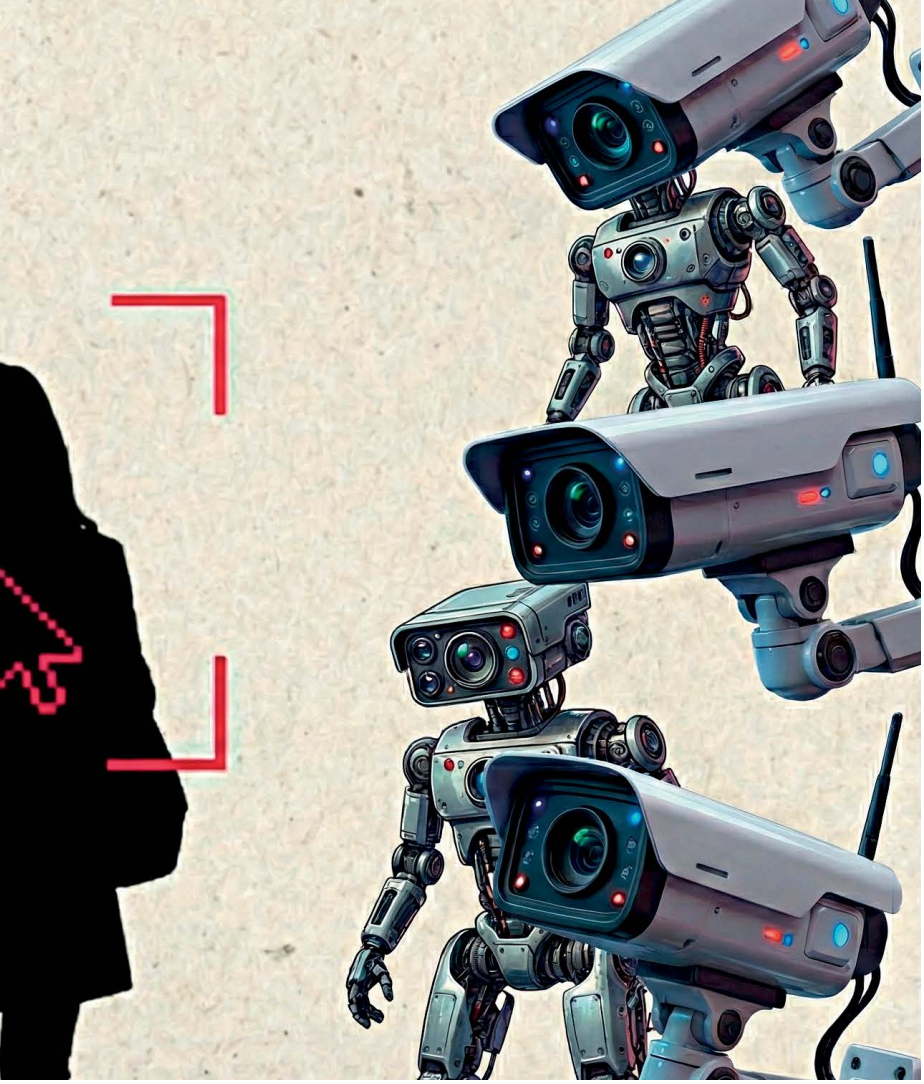


The User Harms

The thing about pervasive AI-driven surveillance is just how many things it can intersect with to cause greater 'user harms'. Take a common trick in the online world. You're booking air tickets for your family, and get asked: Add Rs 499 for insurance? Your options: Yes, I want my family safe. No, I prefer to risk their lives. What would you do? Or: Get a cab in five minutes or get Rs 50! Great, you book, cab takes 20 minutes, and then you realise two days later the Rs 50 you got is in 'virtual coins'—reward points usable within a week for a bike ride.

That's a dark pattern, a user interface crafted to trick you into doing things like buying insurance by shaming you or creating false urgency or giving you options that trick you into picking Yes, usually ticked for you.

Now let's add some surveillance dividend: AI aggregates thousands of user responses and tells platform owners what prompts work best for add-on insurance. Imagine, change a few words, and instantly more money pours in! Which business could resist?

Both those earlier examples are real: at a CCI talk, the head of India's consumer affairs regulator said they took action and fined the players. In 2023, her ministry banned 13 types of dark patterns, and in 2025 directed platforms to self-audit. Some 26 major e-commerce players submitted self-declarations claiming that they were free of dark patterns. Some declarations have been questioned, prompting scrutiny by the regulator. Some large platforms have yet to comply, citing the difficulty of enforcing such compliance on lakhs of sellers.

The darkest surveillance dividend, however, can emerge from state-backed 'public safety' efforts. Yes, AI surveillance gives the dividend of enhanced public security and threat recognition—but with a dangerous reliance on opaque law enforcement. AI decision-making is a black box, where the logic behind a person being flagged as a threat (say face recognition that makes a mistake) is inaccessible to the victim: and there go her constitutional rights.

Video surveillance poses the highest danger: AI-powered video monitoring, expected to be a $150 billion global market by 2030, has moved from recording history to predicting unusual behaviour in real time. Results: wrong people being flagged, or, as in China, growing self-censorship, stifling all forms of public protest.

The next few years will define whether India's AI future is built on an accountability framework or a surveillance dividend. India chose to stay away from Europe's strict privacy and consumer protection regime, whose extreme penalties may stifle innovation—the USA choosing a softer approach. India's extant and emerging laws and regulators across competition, consumer protection and data protection, and sectoral regulators for banking, stock markets and others have to tackle consumer harms from AI misuse. Those regulators need an urgent refresh for the AI era, as do our lawmakers. And not just ours. Global laws are failing to confront the opacity and scale of AI profiling, with the surveillance dividend benefiting governments and large corporations, at the cost of citizens exposed.

For India to truly reap the benefits of AI and fulfill its digital democracy promise, it must legislate transparency, with a risk-based AI framework, and ensure judicial and legislative oversight over state exemptions. Else, the ultimate price of the surveillance dividend would be an erosion of fundamental rights. ■

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